S&P GLOBAL INC SPGI

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by MarAzul

			2026	2027
Price:	411.00	EPS	18	20.50
Shares Out. (in M):	295	P/E	23	20
Market Cap (in $M):	121,000	P/FCF	0	0
Net Debt (in $M):	11,000	EBIT	0	0
TEV (in $M):	132,000	TEV/EBIT	0	0

Description

This will be brief as it is a well known company that has been written before. It is a simple idea, but seems like we have an opening into buying a great business that usually trades at just too high a price.

I believe that SPGI owns 2 of the best businesses in the world: the ratings agency and indices, and my guess is that they will do well long term. Until recently, this company has typically traded at a premium, given their ability to grow without additional capital, pricing power, etc. but now we have been presented with an opportunity given all the fears surrounding AI disruption, etc. Shares are down +20% and currently trade at 22x forward fcf; cheap for such a high quality asset.

Not every day do we get an opportunity to get into such a high-quality business at a moderate valuation. In my opinion, Mr. Market is giving too much importance to segments that might be disrupted but are not that significant to profits over time.

Ratings and indices represent 50% and 20% of profits, respectively. My guess is these two segments will do very well over time.

The ratings business is a duopoly with Moody´s where they charge a toll on basically any borrower that wants access to the capital markets. For an issuer, it would not be economical or practical to issue debt without a rating because the market would require higher rates, there would be fewer buyers, etc. Institutions mostly invest their portfolios based on parameters that use ratings as a guide. For example, a bank might only invest their liquidity in investment grade bonds or a pension fund has a limit on what % of the portfolio is invested in BB or lower, etc. Ratings are a very important part of the capital markets.

It is also an industry in which the market probably benefits from 2 known operators. If there were 10 operators, then issuers would go with the one that offered the highest rating and then agencies would lose their ability to enforce harsh ratings when needed. So it is better to have 2 strong operators that can give their unbiased opinion without fear of losing clients, etc. Of course under this reality we still have angry customers, ratings that miss obvious flaws, and more, but it is better than the alternative.

I don´t think AI will substitute the figure of the rating agency, as we need an “unbiased” actor that provides a score; if I am proven wrong here, then this investment won´t work. AI will be able to analyze credit and provide a score, but it will need to be under one central company/provider. I can envision a scenario in which S&P has fewer analysts and uses AI to increase productivity; analysts might review the job done by AI, who knows. But still believe that the rating provided by S&P will be key to the financial markets for years to come. The value of the ratings agency does not come from doing the best analysis or having the best analysts, it comes from providing a trusted, recognized score that comes from a reliable, “unbiased” source.

That is half of the profits at SPGI and probably more of the value. The business should grow with capital markets, let´s call it 5% over the long term, and on top of that they should increase prices over time. A moated business that grows ~8% without any capital needs should be worth +25x, maybe 27x.

Moving to the indices business, this is just a toll on benchmarks like S&P 500, Dow Jones, etc. The company owns, builds and maintains indices, the most famous one being S&P 500. The way they charge is if an ETF wants to license an index, then they pay an amount based on AUM. For example, VOO pays SPGI a fee for every dollar in the fund. The business also earns revenues from activity of derivatives traded based on owned indices, and other data related sources.

I don´t see this segment being impacted by AI, as funds benefit from using a known benchmark and if they wanted to change it, they would lose credibility and, in some cases, would even require a vote from shareholders. My guess is the model should remain solid for years to come.

This business has benefited from the shift towards indexation and ETFs; the combination of AUM growth coming from inflows and market appreciation has been “explosive”. Going forward, the shift to indices seems to be mostly done but the segment should grow slightly from inflows but mostly from market appreciation over time. So this segment might also grow ~8% (mgmt. projects 10-12%) without additional capital required. MSCI which is a direct comp, trades at 30x and for years has traded at higher multiples.

Assuming these business, Ratings and Indices, trade at 27x and 30x, respectively, they would cover all of the current market value of SPGI. We still have unallocated corporate expenses, but for a moment we can assume they are covered by the other businesses.

The rest would be icing or bonus, including an energy business that is entrenched in a similar way as the ratings business with industry benchmarks, etc. and the market intelligence segment which is highly profitable and growing but is exposed to AI disruption (but just 15% of total profits).

On market intelligence, this is the segment that includes the CapIQ business and probably what the market is most worried about. Mostly they offer data, workflow tools, solutions, etc that are used in the financial industry. The company argues that most of their data is differentiated and their tools are entrenched, but it is difficult to know. My guess is that this segment is indeed exposed to disruption over time, and would assign a low multiple to this flow of earnings.

Taking it all into account, profits should grow high single digits long term, and they should be able to return all fcf via buybacks or dividends. So we are getting ~5% yield + 8% earnings growth; that is 13% expected return. On top of that, once fears surrounding AI dissipate, this should trade closer to 25x, so we might get some multiple expansion, adding to returns. But we don´t need that for this to be a successful investment, in a safe, proven, high quality business.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

-fears of ai disruption dissipate as business keeps doing well

Messages

No messages